



Don't forget institutions: a review essay of *The Economics of Prosperity*

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Abstract

Exchange, division of labor, technology, capital accumulation, and entrepreneurship all contribute to economic growth. In *The Economics of Prosperity*, Ritenour explains how each of these concepts allow countries to develop and flourish. This book attempts to provide an extensive survey of Austrian literature surrounding development, while still preserving the author's opinions around debated issues such as the person and function of the entrepreneur. Ritenour also takes the institution of secure private property rights as a given. This paper argues that strong private property rights must precede any discussion of exchange and specialization, particularly because exchange presupposes ownership. The ruler or ruling elites have to concede some power and uphold a strict rule of law to protect private property rights. Additionally, this paper also extends the discussion to cultural and institutional factors behind innovation and economic development, instead of relying on the Weberian work ethic to explain the Industrial Revolution. In short, economic growth requires good economic principles.

Keywords Development · Entrepreneurship · Institutions

JEL classification O10 · L26

1 Introduction

Austrian economics makes a unique contribution to development economics because it focuses on the process of development, of tending towards equilibrium. Geography, technology, and settler mortality have been used to explain the differential rates of economic growth and prosperity in the world. Ritenour attempts to use Austrian

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economics to address the same question in *The Economics of Prosperity: Rethinking Economic Growth and Development* (2023), trying to explaining absolute differences in wealth levels and relative differences in the rate of economic growth. Using the framework of purposeful human action, Ritenour applies it to economic growth.

Ritenour wants to reframe economic growth as economic prosperity, distancing himself from the mainstream growth literature filled with static models. Ironically, prosperity brings to mind a static state: one passes some threshold to enter the club of the prosperous. The phrase economic growth conveys a sense of process, but the development literature has emphasized modeling and statics. A theory of comparative statics does not offer much to explain the process of change. Agents adjust to changes in their budget constraint, and simply looking at different equilibria conceals the individual trade-offs that they made to get to equilibrium. For example, in the Middle Ages, most families grew enough food to sustain themselves, and most of the work occurred within the family. Today, however, “those in the family who work are individually plugged into an extensive market division of labor” (Ritenour, 2023, p. 2). In this book, Ritenour wants to use economic concepts such as the division of labor, capital accumulation, technology, entrepreneurship, and institutions to explain how poor societies became rich, and why some societies remain relatively poor.

He argues that societies that embrace the division of labor, “saving and investment in capital formation, technical innovation, and entrepreneurial venturing in an institutional environment in which the right to private property is held inviolate, will reap the blessings of economic progress” (Ritenour, 2023, p. 211) as *by-products* of secure private property rights. Like the much of the literature, Ritenour takes secure private property rights as given, and focuses on the secondary effects of economic growth. He details the dynamics of how the society grows once good private property rights are established, but he does not discuss how institutions evolve, how rulers make a credible commitment to not expropriate and protect private property. Without private property rights, there would be no incentive to save or innovate, because someone else could claim credit for the hard work that another did. Economic development requires secure private property rights, a concrete delineation of mine and thine.

Ritenour tries to synthesize and provide a general theory of economic growth from the Austrian perspective. With examples of countries with higher and lower economic growth, Ritenour makes the topic more accessible to the average person. Even though growth and development convey a sense of process, the mainstream has defined it as a series of static models. Ritenour thus opts to use the phrase “economics of prosperity,” although prosperity conveys a state of being. While Ritenour identifies the internal dynamics of economic growth, this paper will emphasize the division of ownership and emergence of private property rights, the pre-requisite to economic development. In the following section, I provide a summary of the book and the aspects of economic growth that Ritenour explores. In Section 3, I discuss the importance of private property rights and its emergence in the West. Section 4 summarizes research on the Industrial Revolution, and how change in institutions played a crucial role in its development. Lastly, I conclude.

2 Engines of prosperity

Ritenour claims that the division of labor is the “great impetus for the formation of society” (2023, p. 37). Specialization according to comparative advantage makes society more productive. “Unequal abilities and interests in various forms of human labor” allows specialization and concentration of production where “natural conditions are best for each line of production” (2023, p. 42). In the world, “natural resources are diverse and distributed unequally over the Earth,” and capital goods have “tremendous diversity” (2023, p. 43). The “market division of labor serves as the great incentive to engage in society, promoting peace and cooperation... society itself is a result of human action” (2023, 48). It, however, is limited by the extent of the market, so people would only produce as much as can be exchanged. To have voluntary exchange, ownership must exist. With secure private property rights, a division of ownership would arise as well. Just as people would specialize in different areas of production, they will also specialize in ownership in their areas of comparative advantage (Alchian, 1965, p. 825). For example, some would specialize in research and development, owning the knowledge about the most promising way to produce something new, while others would focus on finding the right companies to invest in. But specialization only proliferates when the law enforces the contracts impartially (Olson, 1996, p. 22). To preserve the social division of labor, society must remain vigilant “against the ideological enemies of freedom and the social institutions supporting the free market” (2023, p. 57).

Ritenour also claims that Smith was “ambiguous as to why people traded” (2023, p. 44). Trade was mutually beneficial, but humans also had a propensity to “truck, barter, and exchange” (Smith 1776 [1981], p. 25). Ritenour also claims that “trade is common to all men and not found in any other animal,” but monkeys and chimpanzees trade, even in the wild (Ritenour, 2023, p. 44). In Ritenour’s interpretation, “Smith was also somewhat conflicted in his explanation of the pattern of the division of labor” (2023, p. 44). Ritenour points out a tension in Smith’s work: on one hand, Smith suggests that people specialize based on their lowest opportunity cost option, implying inherent differences in abilities. On the other hand, Smith posits that people’s natural talents differ less than commonly assumed. This contradiction, however, can be reconciled through the lens of Smith as an analytical egalitarian. As Peart and Levy argue, Smith takes the relative similarity of individuals as an analytical starting point (2008). Differences between individuals emerge primarily as a by-product of specialization, rather than from innate disparities. By asserting that individuals are similar, Smith gives man the agency and power to change, allowing the market to be more dynamic. Smith was also reacting against Plato, who explained differences in outcomes through nature, instead of nurture. At the end of the chapter, Ritenour urges the reader to reject egalitarianism, noting that “differences in people and their environments are the great catalyst for specialization and exchange in the first place” (Ritenour, 2023, p. 58). People have the ability and power to change their environment through trading with each other.

Smithian growth also encourages capital investment, because of increased specialization. Ritenour disabuses the reader of a rosy notion of autarky, writing: “The romantic notion of self-sufficiency, if put into practice, would also gravely constrict

the division of labor, drastically reducing productivity, and forcing poverty and indeed starvation on a mass scale” (2023, p. 58). Lowering time preference would induce more saving, which allows for more investment in capital goods, leading to a more productive economy. “Austrian capital theory,” Ritenour states, “is a subjective theory of capital because the magnitude of capital ultimately derives from the subjective preferences of all the consumers in society” (2023, p. 75). Capital is not a physical stock, but a mental tool of economic calculation, made up of heterogeneous, multi-specific, and complementary capital goods. Not a stock of goods, capital is the “sum of the market value of an entrepreneur’s assets minus his liabilities” (2023, p. 121). Capital allows people to be more productive and tends to accrue to good entrepreneurs.

Thirdly, Ritenour discusses technology. Defining technology as the “idea or set of ideas linking specific means with the attainment of specific ends,” Ritenour says that technology is just the know-how (2023, p. 86). Math and technical knowledge establish the “precise relationship between inputs and outputs,” but it cannot tell us whether a method or input should be used in and of itself, unless we have perfect substitutes or single-use (highly asset specific) goods (Ritenour, 2023, p. 99). With Ritenour’s definition, technology is no longer scarce once produced. It becomes a general condition of action and does not “need to be discovered again by the user” once learned (2023, p. 87).

Technology in Ritenour’s telling is similar to Hayek’s conception of tacit knowledge and the division of knowledge. Each person has knowledge of time and place, and it is extremely costly (if even possible) to convey this knowledge to another person. As the division of labor expands, so does the division of knowledge (Hayek, 1937). Langlois describes the “process of recognizing possibilities for increasingly ‘roundabout’ production processes is a matter of the extension of human knowledge” (Langlois, 1985, p. 312). Extending the production structure extends the division of knowledge. But to extend the division of knowledge, private property rights must be transferrable, so one can decide the degree of control and risk that they want to have (Candela, 2022; Alchian, 1965). With a division of ownership, some people would specialize in innovation, enabling others to become more productive and fulfill more ends with a fewer quantity of goods. Building a skyscraper or using fertilizer in agricultural products are examples of producing more on the same amount of land. Ritenour rightly stresses that innovation is often based on a “new application of the pre-existing state of knowledge,” not just new scientific knowledge (2023, p. 104).

Since technology is embodied in capital, less developed countries lack capital goods that embody technology. Development is a “social learning process” (Baetjer, 2000, p. 147). They lack know-how, not technical knowledge, “which can be easily learned by reading books and technical manuals” (Ritenour, 2023, p. 93). These countries can experience catch-up growth, where they imitate Western technology and learn by doing. But before one gets too optimistic, Ritenour cautions his readers that “technical knowledge can only set the outer limit on productivity. What constrains a producer’s effort to improve production technology is the scarcity of capital” (2023, p. 97). Thus, society needs resourceful entrepreneurs to invest in research and development, and have correct judgement about whether to implement a technological innovation. Research and development are not a cause of economic prosperity,

but a by-product of correct entrepreneurial judgment or alertness. In other words, R&D is a necessary but not sufficient condition for economic growth (see Holcombe, 1998). Additionally, the benefits of adopting new technology must outweigh the costs of replacing existing ones, which requires foresight and “judgement about the future state of the market” (Ritenour, 2023, p. 101). Thus, in the real world, implementation is often “relatively meandering” because innovations disseminate through “learning by doing” (2023, p. 104). Without good entrepreneurship, technological progress would be halting.

Lastly, Ritenour talks about entrepreneurship as the fourth engine of prosperity. He is someone who undertakes production for an uncertain future demand, so he needs to own capital. Good entrepreneurs find novel ways to combine inputs together and make a profit. Inputs have a lower value than the output, and the entrepreneur makes a profit in recognizing the dissonance. An entrepreneur is an “active capitalist” who “exercises judgment and supervises production as the owner of an enterprise, committing capital to risky projects in hope of reaping a profit” (2023, p. 115). A manager does not own capital; thus, an entrepreneur is not a manager. An entrepreneur “combines the functions of capitalist, owner, and uncertainty-bearing forecaster” (2023, p. 115). He earns interest as a saver-capitalist, quasi-wages for organizing production, and entrepreneurial profit for “judging the future market better than others” (2023, p. 115).

Drawing significantly from Knight, Schumpeter, and Salerno, Ritenour adopts Salerno’s description of the integral entrepreneur (Salerno, 2008; Foss & Klein, 2012; Hebert and Link 1989). He writes that the “integral entrepreneur is seen as a ‘leader among men.’ He is at once a pioneer who introduces new products or production methods. He is the discoverer of new markets or resources. He is the one willing to take risks and bear the uncertainty of production for customers in the future” (Ritenour, 2023, p. 116; see also Salerno, 2008). The entrepreneur must risk his own capital and bears the ultimate responsibility for the entire firm. Entrepreneurs must exercise wisdom to produce goods that people want. He calls these people “wise entrepreneurs” who “effectively act on knowledge for profitable production” (2023, p. 122). Profit results from the “*ex post* fulfillment of an entrepreneur’s *ex ante* forecast” (emphasis in original; 2023, p. 118). If they make a loss, they made an entrepreneurial error. These people can “put information in proper context and relationship with other information” (2023, p. 122). This knowledge is practical and learned by doing. Ritenour adopts the idea of tacit knowledge in production and entrepreneurship, without using Hayek’s terminology.

Ritenour rejects the Kirznerian pure entrepreneur, a decision-maker “whose entire role arises out of his alertness to hitherto unnoticed opportunities” (Kirzner, 1973, pp. 39). It is conceived “more as a function than a real person” (2023, p. 113). Ritenour writes that “Kirzner defines the entrepreneur functionally as a grasper of opportunities rather than one who makes decisions about the allocation of resources he owns” but profit opportunities “do not exist objectively and autonomously” (2023, p. 113). Furthermore, Ritenour believes that the “judgment and action of the entrepreneurs themselves” create the profit opportunities and acting on these opportunities require them to use resources that they actually own (2023, p. 114). Entrepreneurship must “move beyond mere alertness to actual action” (2023, p. 122). Alert entrepreneurs

are not ones who more quickly grab objectively previously existing opportunities, in Ritenour's conception. They do not merely recognize a perceived profitable opportunity. He doesn't represent Kirzner fairly, because Kirzner recognized that entrepreneurship is a discovery of the best available course of action, and "how to ensure that this best course of action—which *can* be carried out—*will* be carried out" (emphasis in original; Kirzner, 1971, p. 204). Kirzner focuses more on the "aha" moment of discovery, and so the Kirznerian entrepreneur creates and arbitrages (Kirzner, 2009). Ownership of capital is not required, as long as he is a residual claimant to the results of the project. For Kirzner, the entrepreneur disseminates information and brings products into new markets.

In sum, entrepreneurship, regardless of the type of entrepreneur, takes us from one equilibrium to the next. Ritenour adopts the terminology of dynamic efficiency, which is defined as "the entrepreneurial capacity to seek, discover, and overcome different social maladjustments" (Huerta de Soto 2008, p. 8). There is a gap in the literature as well; while there are no empirical applications of how to cultivate entrepreneurship in an absolute sense, in relationship to institutions, there is a great deal written on the relative allocation of entrepreneurship, and its reciprocal effect on institutional change (see Henrekson & Sanandaji, 2012). Good property rights lead to more productive entrepreneurship, but property rights evolve and change as the incentives change as a by-product of entrepreneurial discovery (Boettke & Coyne, 2003; see also Demsetz, 1967).

Ritenour posits that institutions "decrease uncertainty regarding the actions of others" (2023, p. 164). They "appear to be by-productions of individual human action in a social context, rather than as result of deliberate, collective action" (2023, p. 165). Ritenour believes that private property rights are "*the* social institution that fosters the development of the division of labor, the accumulation of capital, technological improvement, and successful entrepreneurship" (emphasis in original; 2023, p. 166). Defined as the right to use a good as an asset, transfer, or contract it, Ritenour turns it into a catch-all for legal quality, government encroachment, and stability of governance. "Social institutions such as private property evolve as people act on the perception that they contribute to the maintenance and extension of the market division of labor, which results in increased prosperity for all participants" (Ritenour, 2023, p. 165). Additionally, it does not guarantee economic progress but is "necessary for sustainable economic expansion and development" (2023, p. 169). Societies that use identity rules have better outcomes, as the legal system is structured around impersonal rules that treat individuals similarly regardless of their social status.

Economic freedom indices are a good measure of institutions according to Ritenour. Countries with high levels of economic freedom have higher rates of economic expansion. Higher economic freedom is correlated with more entrepreneurial activity and investment, because "institutions importantly affect economic progress by saving and investment" (Ritenour, 2023, p. 177). In a study of OECD countries between 1960 and 1996, countries that had an increase in government spending as a share of GDP increased had also experienced a fall in their average economic growth (Ritenour, 2023, p. 176). Commodity money, another institution that Ritenour discusses, allows entrepreneurs to engage in economic calculation. Money overcomes the double coincidence of wants, and commodity money allows entrepreneurs to "gain an

accurate assessment of the economic viability of various production products” (2023, p. 169). Others would agree that entrepreneurs need sound and stable money, but a stable fiat system would work better than a hyperinflationary one.

Ritenour then describes the damage that foreign aid has done. It is “neither necessary nor helpful in promoting economic progress” (2023, p. 193). It distorts economic calculation,. It “disrupting the market division of labor and promoting capital consumption” (2023, p. 194). Foreign aid reallocates capital away from productive capitalist-entrepreneurs and into the hands of politicians and bureaucrats incentivizing unproductive entrepreneurship. Adjustment lending, a form of aid, does not work even though it is supposed to strengthen recipients’ balance of payments. The loans are supposed to last 3–5 years, but the “terms of trade for recipient nations deteriorated and real interest rates increased” (Ritenour, 2023, p. 196). Without a hard budget constraint, the leaders of these nations would continue to spend and increase their debt-to-GDP ratio. Ritenour uses Argentina as an example; she received 33 adjustment loans from the World Bank and IMF between 1980 and 2001 to “mitigate macroeconomic crises, and quickly had an even more severe recession after the loans ceased” (2023, p. 196). Both Micronesia and Ethiopia received aid, but the resources never entered the hands of the people. In the Ethiopia and Tigre famine in 1973-74, “significant food aid never made it to the people, because it was sold for revenue to enrich despotic rulers and their militaries” (2023, p. 196). Thus, Ritenour concludes that the “history of foreign aid has been one of optimistic rhetoric and dismal reality” (2023, p. 199).

Ritenour also hedges against a deterministic framework, where peace and private property ensures economic growth. Ideologies and worldviews of a society’s inhabitants govern the development and maintenance of its institutions. Economic progress requires saving and capital accumulation, making low social time preferences a necessity for prosperity. Cultural values, formed by philosophical and religious beliefs, play a pivotal role in this equation. Cultures predisposed to favor immediate consumption over future wealth accumulation often see less economic progress. He cites Landes and attributes the economic development in Northern Europe in the 17th century to the “stress Protestants placed on redeeming the time” (Ritenour, 2023, p. 32).

Furthermore, Ritenour ascribes cultural factors, such as purposeful manipulation of the environment and purposeful behaviors like commerce, production, and innovation, as significant contributors to the Industrial Revolution. People applied means to ends, instead of engaging in superstition and magic, which are not “rational behaviors” in Ritenour’s telling (2023, p. 173). Ritenour points to the positive correlation of economic progress and birth rates, showing that people practiced self-restraint when they needed to “economize in their means of subsistence” (2023, p. 173). The Calvinist work ethic, emphasizing time’s value and holiness as a constraint, impressed upon people the importance of efficiency. But neither the Calvinist work ethic nor the culture of the time explain why the Dutch did not experience the Industrial Revolution at the same time and similar rates as the English, when they had a flourishing trade industry and the Calvinist work ethic, a puzzle that goes unaddressed in Ritenour’s explanation of economic development.

Ritenour credits the Industrial Revolution in Great Britain and Europe to cultural factors, the institution of private property, and a spirit of free enterprise. The decrease in regulation by guilds, cities, and central government facilitated an increasingly stable political and social environment that spurred savings, investments, and business flexibility. Entrepreneurs could specialize according to efficiency. Furthermore, increasing privatization of wealth during the first half of the eighteenth-century incentivized savings and investment. People started having more secure private property rights. Ritenour writes, “Rulers gave up the power of arbitrarily taking and disposing of their subjects’ property. Europeans learned to socially interact using voluntarism (i.e. through contract) rather than violence” (2023, p. 173). However, institutions shape incentives, so something must have changed to make violence more costly relative to exchange. Rulers do not wake up one morning and decide to give up power. Ritenour argues that stable political and social conditions fostered saving and investment, giving businesses freedom to adapt their activities as needed (2023, p. 173). He also observes a diminution in economic regulation by guilds, cities, and government for economic development, thereby enabling entrepreneurship guided by efficiency (2023, p. 173). According to Ritenour, private property’s establishment, enhanced security in ownership, rulers’ relinquished power to arbitrarily seize property, and a shift towards voluntarism in social interactions, were all crucial factors.

Nevertheless, Ritenour overlooks how institutional changes could have increased the cost of violence relative to exchange. He does not describe *how* the payoffs to violence change. Although he attributes the Industrial Revolution to culture—such as value environment manipulation, rational commercial and innovative actions, frugality in resource use, and the Calvinistic work ethic—his narrative fails why the seemingly suitable Dutch society, with its thriving trade industry and comparable Calvinistic ethic, did not experience an industrial revolution (2023, p. 174).

How impactful was saving and capital accumulation, technology, and entrepreneurship if we do not have an evolution toward good institutions? “The visible manifestation of underdevelopment is poverty and its immediate cause is lack of saved capital. The underlying cause, however, is the lack of credible institutions in the realms of politics, law, economics, finance, and society” (Boettke et al. 2005, p. 296). Societies need to come up with a way to constrain predation, without which secure private property rights would not exist. “The expansion of trading opportunities, both domestically and abroad, is a function of the institutions in a society and the most important of these institutions are the political, legal, economic, financial, and social institutions that protect against predation by private and public actors” (Boettke et al., 2005, p. 297).

3 Institutions

3.1 Theories of the evolution of institutions

Private property rights, *the* “social institution that fosters the development of the division of labor, the accumulation of capital, technological improvement, and successful entrepreneurship,” is defined as the right to use a good as an asset, transfer,

or contract it (Ritenour, 2023, p. 166). Weak property rights discourage investment while good legal systems make private property rights more secure, and weak property rights discourage investment. Common law tradition, as opposed to the civil law tradition, offers more protection because it gives “both shareholders and creditors the strongest rights” (Koyama and Rubin 2023, p. 88).

But how do we get from weak to strong private property rights? Even though much ink has been spilled on the question, the notion of an entrepreneur with good judgment, alert to new opportunities, is noticeably lacking in many of these just-so stories about how institutions changed. Acemoglu et al. separate institutions into extractive and inclusive. Inclusive institutions have a broad distribution of political power alongside broad-based economic incentives and opportunities, while a small group of powerful elites hold most of the power in countries with extractive institutions (Acemoglu et al., 2001). Economic institutions are a function of the political counterparts. The legal system depends on other institutions, such as a political system subject to the legal system. But they do not tackle the problem of getting from weak to strong institutions; they use the idea of a “narrow corridor” where countries when developing may find it and experience continued economic growth or miss it entirely and stagnate (Acemoglu & Robinson, 2019).

North, Wallis, and Weingast argue that long-run economic growth requires transition to an open-access order (2009). Individuals and groups must be able to form long-lasting organizations independent of the state. But they do not really answer the question about how societies could transition to an open-access order, and whether societies could backslide once they got there. To get economic growth, the elites must give up some fraction of their power for economic liberation. Barzel (2002) shows how rulers face a tradeoff between security and wealth. In the phase where the ruler gives up some political power for economic development, he opens himself to a coup and instability in the short-term, a theory known as the J-curve (Bremmer, 2007). In the long-term, the country could achieve higher levels of growth and stability. Even though the long-run effects may be positive, elites may hold to their power instead, so that they lower the risk of losing. If the elites feel more secure at the beginning, they may be willing to give their subjects more secure private property rights and a better rule of law, so that they can eventually get more personal wealth as the entire society gets richer (Barzel, 2002; Candela, 2020).

Others have pointed out that countries that have highly concentrated resources are likely to have insecure private property rights (Tenryu, 2017; Easterly, 2007). If the elites do not have a sufficiently long timeframe in mind, they benefit from extracting these resources for their own good. Insecure property rights give them greater leeway to expropriate resources, but the citizenry would have lower incentives to be productive and trade with each other, because whatever they make may be taken the next day. The returns to productive entrepreneurship would be low, and people would be less willing to give up gains today for greater yields in the future.

For large changes in organizational structure, those with the capacity to initiate it anticipate reaping benefits (Greif, 1994, p. 916). The institutions that each country chooses to adopt are a function of the benefits that those with enough power from which can hope to benefit. Diverse cultural beliefs lead to distinct trajectories in organizational development, shaping a historical process of equilibrium selection. But

once a society adopts a specific organizational form, the existing form “influences the rules of historically subsequent games and hence the resulting societal organization” (Greif, 1994, p. 916).

Cultural beliefs can influence societal organization, and “strategic interactions occur within a specific social and historical context” (Greif, 1994, p. 916). Patterns of economic interaction affect societal organization, and frequent interaction gives rise to friendliness and affects moral enforcement mechanisms. Different patterns of interaction lead to people developing distinctive value systems “to find moral justification for their behavior through cognitive dissonance” (1994, p. 917). The rise of the merchant elite before the Industrial Revolution led to better institutions that protected private property rights. Merchants accrued enough power and wealth to make the king give up some of his power and credibly commit to not expropriating them.

Ritenour uses Landes’ idea of the Protestant emphasis on saving time to explain economic growth, but a Eurocentric view of history is “unsatisfying as a social science” (Koyama and Rubin 2023, p. 120). People work harder in response to incentives, so a higher opportunity cost of shirking would lead to less of it. Linking economic growth to the Weberian work ethic requires distinguishing between causation and correlation. The supposed “capitalist spirit” existed in places like the Italian city-states, the cities of Flanders, and the Netherlands long before John Calvin. And yet, these places were not the first to experience the Industrial Revolution. Some of the supposed differences between different cultures in the early 20th century may have been biased by the cultural norms of Western observers. The Japanese were described as lazy in the early 20th century, but they were known for “discipline, industriousness, and punctuality” in the late 20th century (Koyama and Rubin 2023, p. 120). Landes also appeals to the Chinese lacking the European drive for discovery, so they did not have the Industrial Revolution; however, China was a leading innovator for 2000 years (Landes, 2006).

One cannot work themselves out of an extractive regime, but cultural traits related to trust, family structure, individualism, and religion affect economic development. North Italy was governed by free city-states and republic, so there was more civic engagement. Their neighbors to the south, however, had feudal and absolutist regimes, so business tended to stay within the family. The Catholic church also forbade marriage between cousins, and they had a stronger influence in North Italy, so there was more corporation with non-kin members of society. One had to trade with non-family members, and cooperate with them (Schulz, 2022). Non-kin-based institutions incentive the development of rules and norms that facilitate trust. In a kin-based economy, the transaction costs of trading with kinsmen are lower than those with a stranger whose trustworthiness is unknown. Trading partners are limited to the extent of your family, not the market. Trust is reinforced by safe environments and the likelihood of not getting cheated. Also extremely sticky, a culture of higher trust would persist long after the institutional and political environment has changed (Woessman and Becker 2011).

Societies that “disparage finance will be unlikely to have a thriving entrepreneurial class or significant investment in capital” (Koyama and Rubin 2023, p. 123). McCloskey (2007, 2011, 2017) argues that the values of praising hard work, risk-taking, and wealth accumulation were “essential for northwestern Europe’s take-off in the 17th

and 18th centuries” (Koyama and Rubin 2023, 122). They worked to bring freedom and leisure, even though the bourgeois (merchants or middle-class individuals) had very little status. These people had a very detailed knowledge of the production process, so they knew how to make production more efficient. With continuous technological innovation, they knew how to sustain growth.

Religion helps growth as Ritenour claimed, but only because it influences education, family structure, and politics. Protestantism and education were highly correlated. Because they believed that everyone should be able to read the Bible and interpret it for themselves, Protestant communities had high levels of literacy. Once the education levels are controlled for, the Protestant advantage goes to zero. Jews also had historically high levels of human capital because of their religious reform after the destruction of the Temple of Jerusalem (Botticini & Ekshtain, 2012).

The Protestant Reformation also undermined the capacity of Protestant rulers to gain legitimacy through the church (Rubin, 2017). Under Catholicism, rulers had to be in good standing with the Church to sustain their power; they did not want to get excommunicated. After the Reformation, however, rulers stayed in power through the approval of the parliament, whose desired policies tended to benefit a wider group of people. Parliaments gained popularity in the 16th and 17th century, serving as an important precursor of growth. With representation from nobility, churchmen, lawyers, and merchants, parliaments represented the interests of the economic elite. To secure their own profits, they would want good private property rights and investment in infrastructure, which bestowed a benefit on society at large. Both England and the Dutch Republic had flourishing parliamentary systems, while Catholic Spain did not. Despite the latter’s “tremendous inflows of silver and gold from the New World,” they lagged behind in development (Koyama and Rubin 2023, 134). A country needs to transition from religious to secular elites.

Many of these countries transitioned from bad to good institutions. None of it is easy; many wars were fought; one must focus on “getting the prices right, getting the institutions right, and getting the culture right” (Boettke et al., 2005, p. 289). Establishing the right institutions allow the right prices to naturally emerge, but these rules of the game cannot be constructed and imposed from the top-down. Their emergence has to be bottom-up.

3.2 Other reasons for economic growth

Other than culture and institutions, geography and education also have an effect on economic growth, but they could more easily fall prey to determinism and top-down central planning. The entrepreneur is noticeably lacking. Geography cannot explain long-run economic growth and economic reversals by itself, just like a simplistic cultural explanation. However, it can explain the heterogeneous obstacles that countries face and the (natural) resources they have at their disposal. For example, a rugged terrain impedes trade and communication, especially before the Industrial Revolution where the only form of transportation was by horse or walking. This makes it harder to extend the market, which limits the division of labor and division of knowledge. Climate also affects development, as a warmer climate is associated with fewer sicknesses and more productive land, which increases the yield per acre. Being on the

coast decreases the costs of trade, as one could sail to more people than they could reach with horses or mules. The ease of transport increased the extent of the market, such as railroads in America and India, waterways and canals in England. However, these mass-transportation modes may not be the most efficient for long-term economic growth because cities get “locked-in” to bad configurations if there are new innovations. Koyama and Rubin (2023) raise the example of how the French were used to travelling by the roads, so the fixed cost of switching to railroads was much higher than in England, which had more water travel and less developed roads.

Natural resources could both help and hinder economic growth. If Great Britain did not have coal, it probably would not have had the Industrial Revolution at the time that it did (Mokyr, 1985, 2009). The Dutch Republic might have industrialized before them. Botswana is the poster child for economic development in Africa, but they also have troves of diamond mines. On the other hand, natural resources could allow the elites to extract resources from the land, without investing in good institutions and long-run economic growth.

Education is another contested explanation of economic growth, but there could be reverse causation. The best explanation of sustained growth cited by the econometric literature is human capital, measured by years of schooling. At the same time, least-educated countries are far more likely to have long-standing dictators. Countries in which settlers stayed had better institutions, because settlers brought the human capital and knowledge when they migrated (Acemoglu et al., 2001). Education is the strongest predictor of long-run, sustained economic growth, while constitutional rules that limit the power of the sovereign have no predictive power for the growth of per capita income (Glaeser et al., 2004, p. 285). Poor countries get out of poverty through good policies, often pursued by dictators. Education levels rise, and these dictators eventually improve their political institutions. The Protestant regions of Europe also had high levels of literacy, creating a spurious correlation of the Protestant work ethic and economic growth. Those regions of Europe developed because of literacy, not the work ethic.

4 Industrial Revolution

Several developments happened before the Industrial Revolution tell us about the *timing* of it but not the location of economic growth. What was different in the rules of the game to incentivize more specialization? In many ways, we still do not know *why* the hockey stick occurred. The process entrepreneurship within institutional constraints that change the institutions is still an under-studied field. Europe’s mountain ranges explain the distinct geographic cores and sharp political fragmentation (Fenandez-Villaverde et al. 2023). It also led to “separation of sovereignty between rulers, the Church, and the nobility” in certain cities, the pre-condition for the emergence of parliaments, independent cities, and representative institutions (Koyama and Rubin 2023, p. 221). Pockets of power were dispersed into different groups in the population. The church had weakened kin-ship ties through a ban on cousin-marriages, so people had to learn to trust non-kin, so the extent of the market increases. Trading with the Atlantic also increased the extent of the market for trade, along

with gold and silver inflows. As cities developed with different ruling systems, interstate competition emerged, which spurred economic, political, scientific, and technological breakthroughs (Mokyr, 2016; Kitamura and Lagerlof 2020). Agricultural productivity also rose significantly between 1500 and 1700 in northwestern Europe. For urban development to occur, a country must have sufficient agricultural surplus to allow some individuals to specialize in farming and others produce other goods. Even though Britain was a net food importer during the Industrial Revolution, they produced enough widgets for other countries, so its citizens did not starve to death for a general shortage of food.

Limited, representative government also emerged before the Industrial Revolution. Self-governing cities emerged in Italy, Low Countries, and later Rhineland and Germany (Koyama and Rubin 2023, p. 103). Merchants formed the political elite, and they instituted rules that favored the expansion of trade. Parliament also emerged in medieval Spain before spreading across Europe (van Zanden et al., 2012). In Spain, churchmen, landed nobles, and urban bourgeoisie made up the Parliament. With a Parliament, there is “no centralized authority to extract resources, trample over property rights, or infringe on personal liberties” (Koyama and Rubin 2023, p. 232). The Parliament in England constrained the independent power of the monarchy and balanced the “interests of the landowning elites with those of the mercantile and financial elites” (Koyama and Rubin 2023, p. 238). By giving the parliaments more power, rules made a credible commitment against expropriation (North and Winegast 1989). They did not simply wake up one day and decide to institute a good rule of law. Parliaments wrested more power from the monarchy, and thus constrained the level of predation they could do. Thus, the division of ownership could expand, and in turn the division of labor and knowledge.

The Industrial Revolution occurred in Britain and not the Dutch Republic because of Britain's focus on skilled labor. They had a market with more specialization, which means higher productivity because the production structure is longer. Technological advancements could have been developed to reduce labor costs in response to high wages, and a shift in cultural attitudes might have played a crucial role in increasing the number of individuals inclined towards innovation, experimentation, and entrepreneurship. Britain also had secure property rights by the mid-18th century, where the “majority of the population was reasonably well protected from the infringement on property rights” (Koyama and Rubin 2023, p. 250). Inventors enjoyed intellectual property rights, but it was neither a sufficient nor necessary condition for the wave of innovations that Britain experienced. Abraham Darby, the coke pig iron inventor, did not take out a patent for his invention. Other inventions utilized specialized knowledge that the inventors did not want people copying them, so they relied on trade secrets and not telling people. In any case, an entrepreneur needed secure private property rights before making large investments in fixed capital, such as building factories. Factories were only worthwhile when enough people were willing to work long and exhausting hours if necessary (Koyama and Rubin 2023, p. 246).

Even though apprenticeships reduced the mobility of young labor, they allowed talented but poor individuals to acquire training in a profession. Apprenticeships were private contracts between a master and an apprentice (or his parents). The apprentice was locked in for a certain number of years, and he would provide labor services for

the master in return for bed, board, education, and training. In the beginning years, the cost of upkeep would be greater than the value of the labor that he supplies, but it should flip in the later years when the apprentice becomes more skilled. Once apprentices acquired the skills, they would become journeymen and “take their skills from one town to another” (Koyama and Rubin 2023, p. 265). London had a fluid and mobile labor market, and the journeymen would travel to the surrounding towns, providing maintenance and construction work.

Allen (2009) posits that innovation skyrocketed in Britain because of the high wages and relatively cheap capital and energy. Britain had high levels of human capital: the people were on average “better fed, taller, capable of working longer, and more skilled and numerate than their equivalents elsewhere” (Koyama and Rubin 2023, p. 276; Kelly et al., 2014). So labor-saving technology was more profitable in Britain. Allen posits that there would be rapid technological process in capital-intensive technology if producers use capital-intensive production. The spinning jenny, invented in 1765, reduced the costs of spinning by more than half, but was an expensive capital outlay (Allen, 2009). It was still powered by hand, but one laborer could spin eight spindles at once (eventually eighty). With the spinning wheel, one person could only spin one wheel at a time, so the spinning jenny saved a lot of labor. The water frame invented in 1769, had 96 spindles and used rollers to draw out fibers in the cotton so it could be twisted by the spindle. It could spin more types of yarn than the spinning jenny but required a stronger force to turn the wheel because of its size. Consequently, cotton mills were set up near rivers to harness waterpower to turn the wheel. In 1779, Crompton came up with the spinning mule, which combined the spinning jenny and water frame. It produced yarn suitable for any kind of textile, stronger and finer yarn than what people could do by hand. The first iteration had fifty spindles, while subsequent models featured up to four hundred. The spinning mule was eventually used for steam-powered textile mills, which allowed mills to be situated away from water.

Mokyr (2009, 2016) attributes the industrial revolution to cultural and intellectual development in the British and European society, along with increased human capital and skills. Would-be entrepreneurs faced low barriers to entry, and returns to entrepreneurship were high. The Republic of Letters rewarded and encouraged innovation. A Europe-wide forum, the Republic of Letters allowed the “Enlightenment elites to disseminate and dispute the cutting-edge scientific findings and philosophical insights of the day. It provided a setting for ideas to be tested and norms of good behavior and scientific standards to develop” (Koyama and Rubin 2023, p. 277). It crossed national and religious borders, so innovators were neither siloed nor dependent on a patron. The emergence of the Europe-wide postal service also allowed better scholarly communication (Mokyr, 2016). Thus, Britain experienced the Industrial Revolution first because Britain allowed the ideas and encouraged capacity of certain people to take the ideas and put them into practice (Mokyr, 2009).

Asian countries also experienced rapid growth after World War II, or later. The East Asian Tigers (Hong Kong, Singapore, South Korea, and Taiwan) were not expected to grow at the magnitude it did because their physical geography was not promising (Koyama and Rubin 2023). They lacked significant natural resources, and were all relatively small countries. They were “forced to rely on international markets,” which

extended their markets. They also constrained executive power by “working in conjunction with business elites in the private sector” (Koyama and Rubin 2023, p. 338). China also grew significantly after 1995, after they allowed much of the industries to privatize. For a few decades, they had a rule of law that protected private property rights and had an increased openness to global trade. Ritenour does not truly engage with the empirics of growth, and does not apply his theory to concrete real-world terms, even though economists should study and explain the real world.

5 Conclusion

In conclusion, anthropologists, political scientists, and economists will all approach a problem with different starting points and thus arrive at different conclusions about some observation about the real world. Ritenour recognizes that social institutions have a large impact on economic development over time, but institutions remain in the background in his analysis. He does not explain how differences in the institutional environment lead to disparities in economic performance. Instead, secondary factors like the division of labor and entrepreneurship explain why some countries did not get rich in Ritenour’s telling. A market economy, however, is always situated within a broader institutional framework, and “questions of social meaning and interpretation of social signs must move to the forefront of any analysis” (Boettke et al., 2005, p. 289). Institutions are a variable of entrepreneurship, not a constraint.

Division of labor, saving and capital accumulation, technological advancement, and entrepreneurship, matters because a country cannot develop without any of the above alone. Growth theory should include the entrepreneur in development, but that is only an ideal type. Ritenour incorporates some version of the entrepreneur, the division of knowledge, and the division of labor in his story of economic development. But still, “little has been said about how these institutions can be understood and also how they can be changed if they can be changed at all” (Boettke et al., 2005, p. 298). Ritenour attempts to incorporate culture into his analysis, but he does not go much further than the Protestant work ethic. Culture informs the viable set of tools that each individual has in a society, and thus the play within the rules of the game. The formal norms must be congruent with the informal for people to follow the law. The division of knowledge and division of labor comes after the division of ownership. One must have private property rights, enforced by some external authority. Under different sets of rules, entrepreneurs would discover different profitable opportunities. For economic development to occur, entrepreneurs should be rewarded for being productive, not extractive.

Countries may not have all the pre-conditions for economic growth, but they can still experience development by rewarding productive entrepreneurship. Instead of comparing developing countries to ideal states, economists should think on the margin about changes that would increase the division of ownership, and thus the division of labor and division of knowledge. Ritenour concludes that “those societies which embrace labor, saving and investment in capital formation, technical innovation, and entrepreneurial venturing in an institutional environment in which the right

to private property is held inviolate, will reap the blessings of economic progress” (Ritenour, 2023, p. 211). May the best player win on a level playing field.

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